

ance Chairman & MD Mukesh Ambani told shareholders at its annual general meeting on August 28 that his three children—twins Isha and Akash (31) and Anant (28)—will be inducted into the board of Reliance, which retains its No. 1 spot on the BT500 list this year.

This clear succession planning lays the groundwork for the next decade, at least when each of its diverse businesses has to be reimaged to ensure revenue growth on

continues to grow on a large base. Those familiar with the conglomerate point out that “subscriber market share” is a limited understanding of telecom (now called digital because of its suite of offerings). Jio’s wired broadband service reaches 10 million homes, but the difficulty of laying fibre in smaller cities or rural India has restricted its growth. The September 19 launch of Jio AirFiber, a wireless broadband ser-

uities) at Motilal Oswal Financial Services, says Jio’s mobile-telephony subscriber count will show linear growth, though AirFiber can drive big growth like DTH or direct-to-home television did in its time. “It (AirFiber) is similar to the early phase of DTH in India when it serviced those homes where a cable connection did not reach. Here, Jio can use its 5G infrastructure to grow the business,” says Shakir.

AirFiber’s advantage is that it can reach more homes faster to capitalise on an interesting combination: data prices are low, and people are guzzling data. Wired broadband reaches over 30 million homes in India, while 220 million homes have television. “India is still a small broadband market today and will grow over time,” says Shakir.

For FY23, Reliance’s retail businesses fetched ₹2.6 lakh crore in revenues, up by over 30 per cent on the previous year. Reliance Retail added 3,000 stores and 20 million sq. ft, taking its network to 18,000-plus. Reliance’s retail business gives it a large brand portfolio, a robust logistics backend and a convergence of online and offline. The scale gave it an efficient cost structure.

“Brands bring stickiness to the business, and with stores, that connection with customers becomes stronger. Using technology, Reliance can zero in on a large number of stores to give them only those brands that sell quickly,” says one person close to the business. Ideally, pushing its brands is the preferred option and that has worked for fashion and lifestyle—over 80 per cent of the revenue comes from here. Reliance Retail runs its fashion and lifestyle stores and just networks third-party *kiranas*.

Shakir reckons Reliance’s retail business will grow by 25 per cent a year for the next three years based on the current momentum.

RELIANCE INDUSTRIES

Company Name	Reliance Industries
2023/2022 Rank	1/1
Average Market Cap* (Change YoY)	₹16,74,550 crore (-1.6%)
Total Income (Change YoY)	₹8,90,871 crore (25.3%)
PAT (Change YoY)	₹73,670 crore (11.3%)
ROE	9.9%
TTM P/E Multiple	23.27

NOTE DATA AS OF NOVEMBER 17, 2023; *FROM OCTOBER 1, 2022, TO SEPTEMBER 30, 2023; TOTAL INCOME, PAT AND ROE FOR FY23; P/E: PRICE TO EARNINGS; TTM: TRAILING 12 MONTHS; FIGURES IN BRACKETS INDICATE CHANGE IN PER CENT YoY; RESULTS ARE ON A CONSOLIDATED BASIS **SOURCE** ACE EQUITY

a larger base and make them more profitable.

DIGITAL, DATA AND MORE

When Ambani rolled out his Jio telecom business in 2016, it brought down tariffs sharply, launched a new technology, and became the largest player with over 440 million subscribers. He had launched telecom under the Reliance Infocomm banner in 2002, but it was given to his brother Anil in the 2005 split of the Reliance empire.

Jio disrupted the industry and

vice, across eight cities bypasses the fibre hurdle. Jio AirFiber’s fixed-wireless service uses 5G technology, making use of emerging technologies such as connected cars and augmented reality possible. Company insiders are confident that the broadband service can get 100 million homes. “Even for the fibre business, the enterprise part with cloud and edge computing are potentially large revenue streams. Globally, this drives the business,” says a person privy to the issue.

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